Supplier Agreements Summary FY2026

1. Overview

This document summarises commercial terms with our four active suppliers. Lead times are quoted from purchase-order confirmation to goods receipt at our dock.

2. Supplier Terms

Supplier	Lead Time (days)	MOQ (units)	Payment Terms	On-Time Delivery
Nova Components	14	200	Net 45	96%
Pacific Fasteners	7	500	Net 30	91%
Delta Electronics	28	100	Net 60	84%
Summit Packaging	10	300	Net 30	98%

3. Expedite Rules

Nova Components and Summit Packaging offer expedited shipping at a 15% price premium, cutting lead time by 50%. Pacific Fasteners can expedite to 3 days for a flat USD 400 fee. Delta Electronics does not offer expedited service because of ocean freight.

4. Penalties and Reliability

Suppliers with on-time delivery below 90% for two consecutive quarters enter a performance review. Delta Electronics is currently on review; planners should add a 20% lead-time buffer when ordering from them.

Event	Remedy
Late delivery > 5 days	2% credit on the PO value
Quality rejection > 3%	Replacement at supplier cost
Short shipment	Backorder within 10 days or refund